

week. Only the close at week's end is important, so the search for the ultimate low may continue further than it does on the daily scale.

Standard & Poor's 500 change. Both the bull and bear markets showed losses from the day of the horn breakout to the day of the ultimate low. That is unusual for bull markets, but it happens. It shows that the general market helped the stock move lower (the inverse of a rising tide lifts all boats).

Days to ultimate low. After the breakout, it takes between 2 and 3 months, on average, to reach the ultimate low, depending on market conditions. Since that is an average, your results will vary, but it suggests you need patience to reach the full potential of this chart pattern ... unless you're in a bear market.

Notice (you'll have to do the math to prove this) that the decline is almost twice as fast in bear markets as in bull ones.

How many change trend? This is a count of how often price drops more than 20% after the breakout. The two numbers slightly beat the averages of those on the daily charts.

[Table 44.3](#) shows failure rates for horn tops with the bear market failure rates being smaller than the bull market ones. That finding should not come as a surprise because horn tops are bearish chart patterns.

How do you read the table? Let me give you a few examples. In bull markets, 30% of the patterns fail to see price drop more than 10%. Just about half (49%) fail to see price drop more than 15%.

Notice how the failure rate triples as the maximum decline moves from 5% to 10%. At 15%, the bear market failure rate has climbed to eight times the breakeven rate. Wow. If you think you're going to make a killing trading chart patterns, think again.